

years of his or her life, and may never see substantial dividends. Consequently, the board of Parents, Inc. tends to anxiously look forward to the day when it can spin You, Inc. off into a separate entity.

As the human lifecycle continues, You, Inc. will eventually consider merger opportunities, otherwise known as marriage. Marriage is the largest merger and acquisitions (M&A) activity undertaken by You, Inc., and may occur more than once. Most business mergers usually have a breakup fee attached to the deal. This is meant to protect the interests of the larger and more established company, in the event things go sour prior to consummation. Modern marriages have adopted similar, albeit longer dated, provisions under the ominous name of prenuptial agreements. Once again, this contract is meant to protect the economic interests of the party that stands to gain the least from the merger. In fact, many a merger in the human capital industry of which You, Inc. is part have been scuttled over the meager terms of such agreements.

After the assets are successfully combined and management cultures reconciled, the enlarged You, Inc., which is perhaps now rightfully called Family, Inc., usually looks to acquire new headquarters. Besides the productivity potential of your human capital, your home is your second largest asset. But the investment in a home is undiversified and illiquid, because it can't be sold off piecemeal; hence it can be considered riskier than most publicly traded investments like stocks and bonds. Millions of homeowners who are currently facing foreclosure on their homes because the value has dropped under the amount of debt they owe on the house are experiencing the fact that your personal residence is not a risk-free investment. Like education and college tuition, the purchase of a house is usually financed with debt, a deal that requires the best of your CFO skills. Each of the myriad loan and mortgage options has its own risks and rewards. But as every good CFO knows, speculating on the direction of interest rates is an ill-advised endeavor. The choice between long-term fixed or short-term floating debt, as well as the maturity of the "bond" (the mortgage), depends on corporate needs, tax considerations, and budgeting issues. If, for example, your budget can allow for potential spikes in fluctuating payments, you are better off with a variable or adjustable mortgage, but if cash is tight, fixed is the way to go.